

Great British Energy

A decision brief on financing, investment priorities and risk controls

Decision in one sentence

GBE should use public capital as a catalyst rather than a permanent funding substitute: combine seed equity with green bonds and project-level PPPs, phase investment through measurable gates, and protect affordability with targeted support rather than broad price distortion.

Why this decision

Capital intensity	Energy transition assets require large upfront commitments and long payback periods. A single funding channel would concentrate fiscal or refinancing risk.
Execution discipline	EDF illustrates the balance-sheet and delivery risks of large projects; Ørsted highlights the consequences of rapid expansion and impairments; Vattenfall shows the value of diversified state-owned operations.
Public mandate	GBE must combine energy security and decarbonisation with affordability. Financial returns are necessary for durability, but they are not the only objective.

Weighted option scorecard

Financing route	Fiscal resilience 25%	Energy security 25%	Delivery speed 20%	Affordability 15%	Governance 15%	Weighted score
Direct public funding	2	5	3	4	4	3.50
Project-level PPP	4	4	4	3	3	3.75
Green bonds / blended	4	4	3	4	4	3.80

Scores are an explicit decision aid (1=weak, 5=strong), not measured outcomes. The preferred approach is a portfolio of funding routes: public seed capital for mandate alignment, green bonds for scalable finance and PPPs for risk-sharing at project level.

Implementation roadmap

Three stages with evidence gates

Stage	Priority	Release gate	Illustrative KPI
0-12 months	Seed portfolio	Project governance, baseline affordability and grid-connection plan approved	Capital committed only after independent delivery review
12-36 months	Scale proven routes	Construction milestones and contracted revenue / offtake evidence	Cost variance and schedule variance within approved tolerance
36+ months	Portfolio optimisation	Recycle capital; stop or restructure underperforming projects	Portfolio-level return, carbon and affordability dashboard

Risk matrix and controls

Risk	Likelihood	Impact	Leading indicator	Control
Major-project cost overrun	High	High	Cost/schedule variance	Independent stage gates; contingency; stop-loss review
Power-price / offtake exposure	Medium	High	Uncontracted output	Long-term offtake mix and hedging policy
Supply-chain bottlenecks	High	Medium	Lead times and concentration	Dual sourcing; domestic capability plan
Affordability conflict	Medium	High	Household burden / arrears	Targeted support; transparent distributional assessment
Policy and governance drift	Medium	High	Mandate exceptions	Published objectives, board accountability and audit trail

Decision dashboard

Financial	Capital deployed; committed leverage; cost and schedule variance; cash yield
Energy system	Capacity delivered; grid availability; security contribution; curtailment
Public value	Carbon avoided; household affordability; regional jobs; private capital mobilised

Source note

Company snapshots and strategic lessons are based on EDF 2024 annual results, Vattenfall 2024 year-end reporting and Ørsted 2024 annual reporting. The scorecard, weights, roadmap and risk controls are analytical recommendations prepared for this portfolio enhancement; they were not part of the original submitted coursework.

Sources: edf.fr/en/.../2024-annual-results · group.vattenfall.com/.../year-end-report-2024 · orsted.com/en/investors/ir-material/annual-reporting-2024